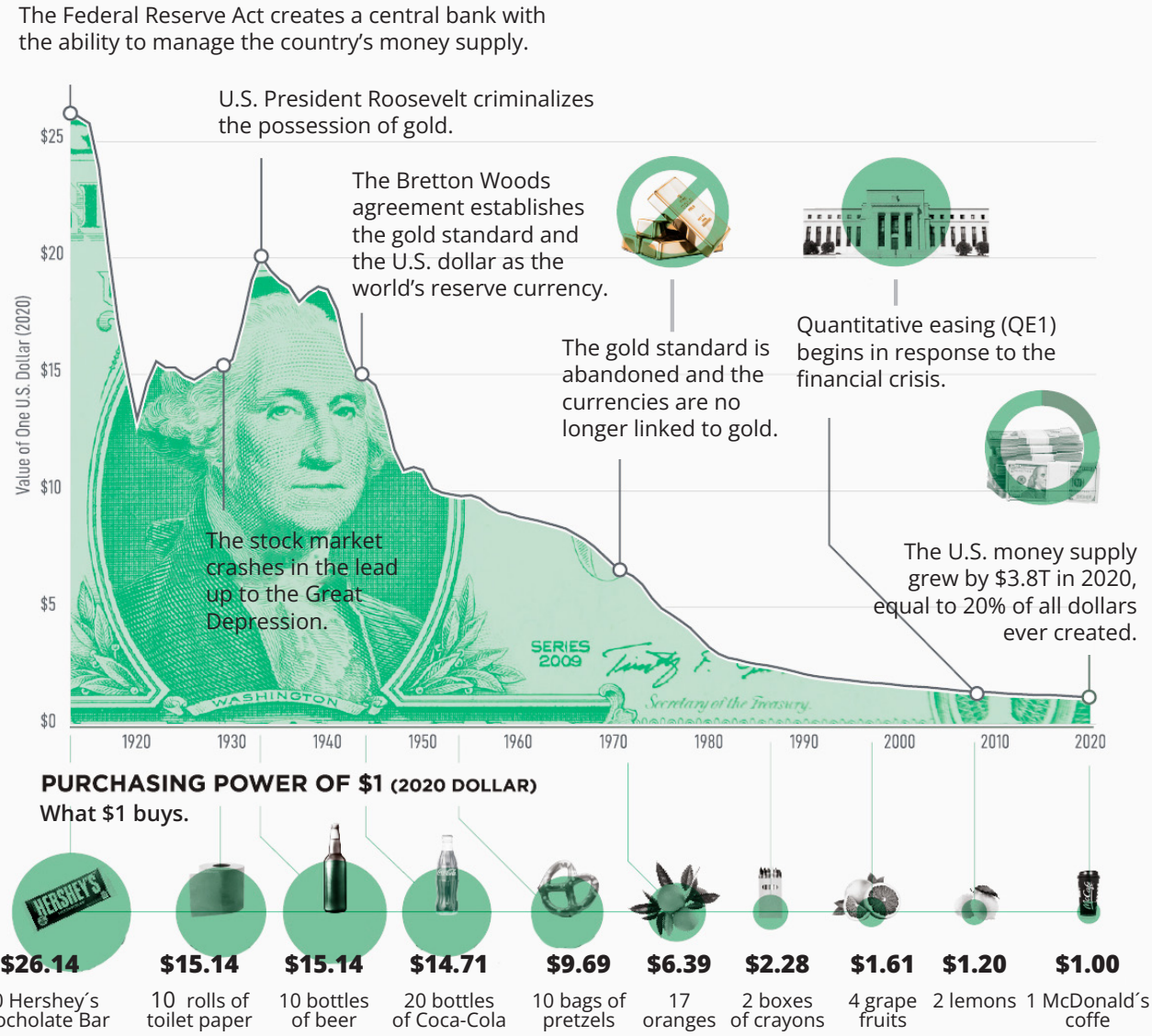
Jaime: "What? That's crazy. I can't even imagine what my rent would have cost back then."

Grandfather: "Well, let me see. If we take inflation into account, $1USD would have bought me about 10 bags of pretzels back then."

Jaime: "Wow, that's really interesting, Grandpa. But how much would that be worth today?"

Grandfather: "Oh, things were much cheaper! A loaf of bread would only cost a few cents, and you could buy a gallon of gasoline for just a quarter. It is unbelievable how much the cost of living has gone up."

A Dollar's Worth
Purchasing Power of the U.S. Dollar

The purchasing power of the U.S. dollar has fallen sharply over the last century, due to rising inflation and money supply.